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Case Number: 26STCV10084 Hearing Date: June 26, 2026 Dept: 509

Jax Chandler Miranda v. FAB4 LLC, et al.

MOTION TO COMPEL ARBITRATION

MOVING PARTY: Defendants FAB4, LLC and Capital One Auto Finance

RESPONDING PARTY(S): Plaintiff Jax Chandler Miranda

STATEMENT OF MATERIAL FACTS AND/OR PROCEEDINGS:

Plaintiff Jax Chandler Miranda (Plaintiff) purchased a used 2020 Dodge Challenger from FAB4, LLC who assigned the contract to Capital One Auto Finance. Plaintiff alleges that FAB4, LLC misrepresented the condition of the vehicle at the time of the purchase. Plaintiff brings causes of action against defendants FAB4, LLC, Capital One Auto Finance, and FCA US, LLC for: (1) CLRA violations (Civil Code §1750-1784); (2) fraud / intentional misrepresentation; (3) negligent misrepresentation; (4) violation of Vehicle Code §11713; (5) breach of implied warranty (Song-Beverly); (6) Magnuson-Moss Warranty Act; (7) Truth in Lending Act (TILA); and (8) FTC Holder Rule Claim.

Defendants FAB4, LLC and Capital One Auto Finance (collectively, Defendants) move to compel Plaintiff to arbitrate the dispute.

It appears Plaintiff served an opposition on Defendants which was addressed in Defendants' reply. However, Plaintiff failed to file this opposition with the Court.

TENTATIVE RULING:

Defendants' Motion to Compel Arbitration is GRANTED. The action is stayed pending the results of the arbitration.

A Status Review/OSC re: Dismissal is set for June 28, 2027, at 8:30 a.m.

Moving Parties are ordered to give notice.

DISCUSSION:

Motion to Compel Arbitration

1. Legal Standard

"[T]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence" (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284). "In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties' intentions, in light of the usual and ordinary meaning of the contractual language and the circumstances under which the agreement was made." (Weeks v. Crow (1980) 113 Cal.App.3d 350, 353.) "Doubts as to whether an arbitration clause applies to a particular dispute are to be resolved in favor of sending the parties to arbitration. The court should order them to arbitrate unless it is clear that the arbitration clause cannot be interpreted to cover the dispute." (California Correctional Peace Officers Ass'n v. State (2006) 142 Cal.App.4th 198, 205.)

"[A] party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (Giuliano v. Inland Empire Personnel, Inc. (2007) 149 Cal.App.4th 1276, 1284.)

"If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies. . . ." (Code Civ. Pro. §1281.4.)

2. Analysis

California has a strong public policy in favor of arbitration as an expeditious and cost-effective way of resolving disputes. "Even so, parties can only be compelled to arbitrate when they have agreed to do so." (Avila v. S. California Specialty Care, Inc. (2018) 20 Cal. App. 5th 835, 843.) "The party seeking to compel arbitration bears the burden of proving the existence of a valid arbitration agreement." (Ibid.)

An arbitration agreement is a contractual agreement. "General contract law principles include that '[t]he basic goal of contract interpretation is to give effect to the parties' mutual intent at the time of contracting. [Citations.] ... The words of a contract are to be understood in their ordinary and popular sense." [Citations.] (Garcia v. Expert Staffing W., 73 Cal. App. 5th 408, 412–13.)

A. Existence of an Arbitration Agreement

The party moving to compel arbitration must establish the existence of a written arbitration agreement between the parties. (Code Civ. Proc., § 1281.2.) The moving party can meet this initial burden by attaching to the petition a copy of the arbitration agreement purporting to bear the respondent's signature. (Bannister v. Marinidence Opco, LLC (2021) 64 Cal.App.5th 541, 541-543.) Alternatively, the moving party can meet its initial burden by setting forth the agreement's provisions in the motion. (See Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219; see also Cal. Rules of Court, rule 3.1330.)

Here, Defendants have met their initial burden to establish the existence of a written arbitration agreements between the parties. Attached to the Declaration of Karen Ochoa-Rios is a document titled "Retail Installment Sale Contract – Simple Finance Charge (With Arbitration Provision)" (Sales Contract) as Exhibit A. (Ochoa-Rios Decl. ¶4.) The document contains a valid arbitration provision applicable to this current action.

The Sales Contract, which is signed by Plaintiff, contains an arbitration provision on its first page, which is further elaborated on the fifth page. The first page arbitration provision states:

Agreement to Arbitrate: By signing below, you agree that, pursuant to the Arbitration Provision on page 5 of this contract, you or we may elect to resolve any dispute by neutral, binding arbitration and not by a court action. See the Arbitration Provision for additional information concerning the agreement to arbitrate.

(Ochoa-Rios Decl., ¶4, Exhibit A, p. 1.)

Below this provision there is a signature line for the buyer and co-buyer. The buyer's signature is completed.

Page 5 of the Sales Contract contains a box titled "ARBITRATION PROVISION" followed by "PLEASE REVIEW - IMPORTANT - AFFECTS YOUR LEGAL RIGHTS." (Ochoa-Rios Decl., ¶4, Exhibit A, p. 5.)

The box reads as follows:

1. EITHER YOU OR WE MAY CHOOSE TO HAVE ANY DISPUTE BETWEEN US DECIDED BY ARBITRATION AND NOT IN COURT OR BY JURY TRIAL.
2. IF A DISPUTE IS ARBITRATED, YOU WILL GIVE UP YOUR RIGHT TO PARTICIPATE AS A CLASS REPRESENTATIVE OR CLASS MEMBER ON ANY CLASS CLAIM YOU MAY HAVE AGAINST US INCLUDING ANY RIGHT TO CLASS ARBITRATION OR ANY CONSOLIDATION OF INDIVIDUAL ARBITRATIONS.
3. DISCOVERY AND RIGHTS TO APPEAL IN ARBITRATION ARE GENERALLY MORE LIMITED THAN IN A LAWSUIT, AND OTHER RIGHTS THAT YOU AND WE WOULD HAVE IN COURT MAY NOT BE AVAILABLE IN ARBITRATION.

Any claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, any allegation of waiver of rights under this Arbitration Provision, and the arbitrability of the claim or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to your credit application, purchase or condition of this Vehicle, this contract or any resulting transaction or relationship (including any such relationship with third parties who do not sign this contract) shall, at your or our election, be resolved by neutral, binding arbitration and not by a court action. If federal law provides that a claim or dispute is not subject to binding arbitration, this Arbitration Provision shall not apply to such claim or dispute. Any claim or dispute is to be arbitrated by a single arbitrator only on an individual basis and not as a plaintiff in a collective or representative action, or a class representative or member of a class on any class claim. The arbitrator may not preside over a consolidated, representative, class, collective, injunctive, or private attorney general action. You expressly waive any right you may have to arbitrate a consolidated, representative, class, collective, injunctive, or private attorney general action. You or we may choose the American Arbitration Association (www.adr.org) or National Arbitration and Mediation (www.namadr.com) as the arbitration organization to conduct the arbitration. If you and we agree, you or we may choose a different arbitration organization. You may get a copy of the rules of an arbitration organization by contacting the organization or visiting its website.

Arbitrators shall be attorneys or retired judges and shall be selected pursuant to the applicable rules. The arbitrator shall apply governing substantive law and the applicable statute of limitations. The arbitration hearing shall be conducted in the federal district in which you reside unless the Seller-Creditor is a party to the claim or dispute, in which case the hearing will

be held in the federal district where this transaction was originated. We will pay the filing, administration, service, or case management fee and the arbitrator or hearing fee up to a maximum of \$5,000, unless the law or the rules of the chosen arbitration organization require us to pay more. You and we will pay the filing, administration, service, or case management fee and the arbitrator or hearing fee over \$5,000 in accordance with the rules and procedures of the chosen arbitration organization. The amount we pay may be reimbursed in whole or in part by decision of the arbitrator if the arbitrator finds that any of your claims is frivolous under applicable law. Each party shall be responsible for its own attorney, expert and other fees, unless awarded by the arbitrator under applicable law. If the chosen arbitration organization's rules conflict with this Arbitration Provision, then the provisions of this Arbitration Provision shall control. Any arbitration under this Arbitration Provision shall be governed by the Federal Arbitration Act (9 U.S.C. §§ 1 et seq.) and not by any state law concerning arbitration. Any award by the arbitrator shall be in writing and will be final and binding on all parties, subject to any limited right to appeal under the Federal Arbitration Act.

You and we retain the right to seek remedies in small claims court for disputes or claims within that court's jurisdiction, unless such action is transferred, removed or appealed to a different court. Neither you nor we waive the right to arbitrate any related or unrelated claims by filing any action in small claims court, or by using self-help remedies, such as repossession, or by filing an action to recover the vehicle, to recover a deficiency balance, or for individual or statutory public injunctive relief. Any court having jurisdiction may enter judgment on the arbitrator's award. This Arbitration Provision shall survive any termination, payoff or transfer of this contract. If any part of this Arbitration Provision, other than waivers of class rights, is deemed or found to be unenforceable for any reason, the remainder shall remain enforceable. You agree that you expressly waive any right you may have for a claim or dispute to be resolved on a class basis in court or in arbitration. If a court or arbitrator finds that this class arbitration waiver is unenforceable for any reason with respect to a claim or dispute in which class allegations have been made, the rest of this Arbitration Provision shall also be unenforceable.

(Ibid.)

Therefore, Defendants put forth a signed arbitration agreement that generally covers the claims here.

While the Court did not see any opposition filed, the Court briefly addresses the arguments examined on reply.

First, it appears that Plaintiff is challenging the validity of the contract. (See Reply at p. 2; ["For instance, Plaintiff alleges the version of the Contract he received was in black and white with plain system font, while the version attached to the Declaration of Karen Ochoa-Rios has a blue background with stylized font."]) However, it does not appear that Plaintiff is asserting that he did not sign the Sales Contract but rather that he received a different copy. This is an unpersuasive argument. If Plaintiff did not sign the Sales Contract, Plaintiff may state so, unequivocally, at the hearing. If Plaintiff signed the Sales Contract, he is bound by such terms.

Second, "Plaintiff alleges that Defendant violated Civil Code section 2982(a) by failing to provide a fully executed copy of the Contract." (Reply at p. 5:22-23.) However, Civil Code, section 2982(a) requires certain disclosures in the Sales Contract. It does not govern the validity nor enforceability of an arbitration agreement within.

Third, it appears that Plaintiff argues that the arbitration agreement is unenforceable due to fraud. (Reply at p. 8:17.) However, "California law distinguishes between fraud in the 'execution' or 'inception' of a contract and fraud in the 'inducement' of a contract." (Rosenthal v. Great Western Fin. Securities Corp. (1996) 14 Cal.4th 394, 415.) "[I]n the former case 'the fraud goes to the inception or execution of the agreement, so that the promisor is deceived as to the nature of his act, and actually does not know what he is signing, or does not intend to enter into a contract at all, mutual assent is lacking, and [the contract] is void. In such a case it may be disregarded without the necessity of rescission.'" (Ibid.) "Fraud in the inducement, by contrast, occurs when 'the promisor knows what he is signing but his consent is induced by fraud, mutual assent is present and a contract is formed, which, by reason of the fraud, is voidable. In order to escape from its obligations the aggrieved party must rescind.'" (Ibid.) "[F]raud in the inducement relating to other contractual terms does not render the arbitration agreement unenforceable, even when it might justify rescission of the contract as a whole. By entering into the arbitration agreement, the parties established their intent that disputes coming within the agreement's scope be determined by an arbitrator rather than a court; this contractual intent must be respected even with regard to claims of fraud in the inducement of the contract generally." (Id. at p. 416.) "In the absence of a contrary agreement, parties to a predispute

arbitration agreement are presumed to have intended arbitration of controversies, including allegations of fraud in the inducement of the contract generally, that may allow rescission or reformation of the contract or part of it.” (Id. at p. 417.)

Here, Plaintiff is alleging fraud in the inducement by asserting the vehicle was misrepresented as in good working condition when it was not. (See Compl., generally.) Plaintiff is not alleging any fraud in the execution that would render the contract void. Therefore, the arbitration agreement is valid and enforceable.

B. Defenses to Enforcement

From the reply, it appears that Plaintiff argues the Agreement should be disregarded based on principles of unconscionability. Unconscionability has “both a procedural and a substantive element, the former focusing on oppression or surprise due to unequal bargaining power, the latter on overly harsh or one-sided results. (Sanchez v. Valencia Holding Company, LLC (2015) 61 Cal.4th 899, 910.) Under California law, an arbitration agreement must be in some measure both procedurally and substantively unconscionable in order for the agreement to be unenforceable. (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 114 (Armendariz); De La Torre v. CashCall, Inc. (2018) 5 Cal.5th 966, 982.) “But they need not be present in the same degree. . . . [T]he more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (Armendariz, supra, 24 Cal.4th at p. 114.)

a. Procedural Unconscionability

First, Plaintiff argues the Sales Contract is procedurally unconscionable because it was a contract of adhesion—it was offered on “take-it-or-leave-it-basis” as a condition of purchase of the vehicle and he had no ability to negotiate its terms. Plaintiff alleges that this contract of adhesion should invalidate the Agreement. “The term [contract of adhesion] signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” [Citation]. (Armendariz, supra, 24 Cal.4th at p. 113.)

Here, the Court agrees with Plaintiff that the dynamic here represents a classic contract of adhesion, but only to the degree that is typical in the purchase of a motor vehicle. Therefore, the “take it or leave it” nature of the agreement is sufficient to establish “some degree of procedural unconscionability.” (Sanchez v. Valencia Holding Co., LLC (2015) 61 Cal.4th 899, 915). This means the substantive terms of the agreement must be scrutinized to ensure they are not manifestly unfair or one-sided. (Ibid.)

b. Substantive Unconscionability

Plaintiff also contends the Agreement is substantively unconscionable. “‘Substantive unconscionability’ focuses on the terms of the agreement and whether those terms are ‘so one-sided as to ‘shock the conscience.’” (Kinney v. United HealthCare Services, Inc. (1999) 70 Cal.App.4th 1322, 1330.)

“In assessing substantive unconscionability, the paramount consideration is mutuality.” (Pinela v. Neiman Marcus Group, Inc. (2015) 238 Cal.App.4th 227, 241, internal quotes and citations omitted.) “A contractual provision is not substantively unconscionable simply because it provides one side a greater benefit. The party with the greater bargaining power is permitted to require contractual provisions that provide it with additional protections if there is a legitimate commercial need for those protections, but the stronger party may not require additional protections merely to maximize its advantage over the weaker party. ‘As has been recognized ‘unconscionability turns not only on a ‘one-sided’ result, but also on an absence of ‘justification’ for it.’” (Carbajal v. CWPS, Inc. (2016) 245 Cal.App.4th 227, 248, internal citations omitted.)

Here, the arbitration provisions of the Sales Contract are not so one-sided as to shock the conscience of the Court. While these provisions certainly favor the Defendants, they do not appear to be unjustifiable constraints designed to maximize its advantage over the weaker party. The terms leave a minimal finding of substantive unconscionability.

This, therefore, leaves us with only a minimal finding of both procedural and substantive conscionability. This is not enough under the sliding scale approach to invalidate the agreement as a whole.

Accordingly, Defendants' Motion to Compel Arbitration is GRANTED. The action is stayed pending the results of the arbitration.

IT IS SO ORDERED.

Dated: June 26, 2026 _____

Randolph M. Hammock

Judge of the Superior Court

Any party may submit on the tentative ruling by contacting the courtroom via email at by no later than 4:00 p.m. the day before the hearing. All interested parties must be copied on the email. It should be noted that if you submit on a tentative ruling the court will still conduct a hearing if any party appears. By submitting on the tentative you have, in essence, waived your right to be present at the hearing, and you should be aware that the court may not adopt the tentative, and may issue an order which modifies the tentative ruling in whole or in part.